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China Economics

Mid-Year Politburo: Rate Cut Green Light, Fiscal Acceleration Ahead

CITI'S TAKE

The Politburo convened its mid-year meeting today to discuss economic issues ([Xinhua](#), Jul 30th). The readout came in broadly in line with [our expectations](#) – stronger policy rhetoric, but light on specific actions. We summarize our takeaways in this note.

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The Politburo convened its mid-year meeting today ([Xinhua](#), Jul 30th), with economic policy a key agenda item. The readout came in broadly in line with [our expectations](#) – stronger policy rhetoric, but light on specific actions. This reinforces our view that incremental measures are in the pipeline, while a policy pivot akin to September 2024 remains unlikely. We summarize our takeaways below.

Supportive rhetoric without urgency — The overall tone was constructive, [as anticipated](#). The leadership dropped the “better than expected” characterization of major indicators from [the April meeting](#), though this doesn’t signal heightened urgency for new stimulus. The readout cited strengthening new growth engines and an improving economic structure. On policy, Beijing emphasized both fully utilizing existing tools and timely deployment of incremental measures, with a call to “strengthen countercyclical adjustments”. The explicit mention of “incremental policies” is a modest positive rhetorical surprise.

Green light for rate cuts — The Politburo called for “comprehensively deploying and timely adjusting monetary policy tools” (综合运用并适时调整货币政策工具). We interpret this as a green light for rate cuts, potentially as early as August, ending a 14-month LPR hold. [We maintain our call for a symbolic 10bp LPR cut in 26H2E](#). De facto easing may already be underway, with DR rates now incorporated into loan pricing ([Xinhua](#), Jul 29th); an outright LPR cut would nonetheless send a clearer signal to the market. Separately, the readout referenced “improved monetary-fiscal coordination to support domestic demand” (财政金融协同), with interest subsidies one key example. **We see scope for interest subsidies to be extended to mortgages**, which would help stabilize household credit demand. At an average of 3.1%, mortgage rates remain too high, in our view, relative to the record-low 10yr CGB yield of ~1.7% and still-weakening property fundamentals.

Fiscal deployment to accelerate — The group urged accelerating fiscal policy execution, with eyes on both expenditure and bond proceeds. **The reversal of fiscal austerity from 26H1 could release an additional ~RMB1.6trn in 26H2E** vs. 25H2, equivalent to ~1% of GDP. That said, the readout didn’t mention [1] **the RMB800bn policy-financing facility** (vs. RMB500bn in 2025), [2] **RMB1.8trn of unused government bond quota carried over from prior years**, and [3] ongoing tax collection efforts (see [the recent offshore trust example](#)), all of which remain on the table. With ample policy space under existing frameworks, **we rule out a formal budget revision** or an increase in the government bond issuance quota this year.

Supply solution to demand problem — The consumption discussion centered on supply-side improvements and services sector development. Demand-side measures were largely absent, with no mention of the *Action Plan to Increase Resident Income* (城乡居民增收计划). Employment and social security received brief treatment – unsurprising given the timing (mid-year graduation season). However, no concrete measures were announced, and [AI-driven job displacement risks](#) – increasingly relevant amid the tech push – were not addressed. On investment, [the Six Networks initiative](#) was highlighted. Notably, the readout omitted last year’s CEWC language calling forcefully for halting the investment decline and engineering a rebound.

Full life-cycle support for the new economy — The readout outlined broad policy support for the new economy across six dimensions: [1] long-term and stable support for basic research, [2] in-depth implementation of the AI+ initiative, [3] development of the new intelligent economy, [4] AI governance, [5] frontier technology breakthroughs and future industries, [6] upgrading of traditional industries. Related, healthy development of the platform economy was mentioned

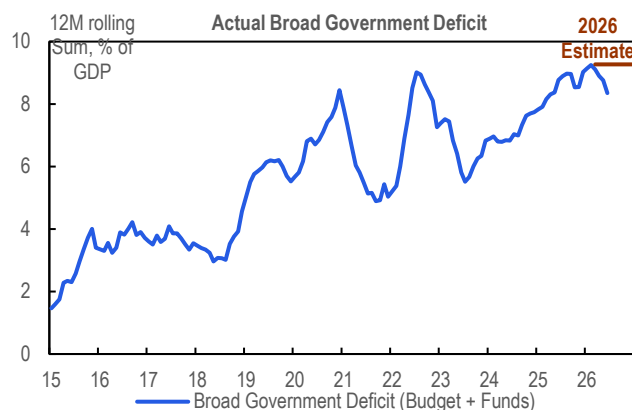
for the first time since July 2022. We won't be surprised to see follow-through measures on platform regulation, in part as an effort to curb involution.

Risk resolution on track — The Politburo maintained the established tone on the three key risk areas: property, local government debt, and small financial institutions. A new addition is the commitment to “resolving overdue payments to enterprises through regular mechanisms” (常态化解决企业账款拖欠问题). This issue has now appeared in three of the last four Politburo economic readouts. Institutionalizing the resolution process could be meaningful for improving both corporate liquidity and business sentiment.

Renewed attention on capital markets — [As expected](#), the policy tone on capital markets stepped up, with the leadership pledging comprehensive investment and financing reforms (资本市场投融资综合改革) and a commitment to boosting market resilience and confidence. The explicit mention of “resilience” is new in Politburo readouts, likely a reaction to recent tech-driven market volatility.

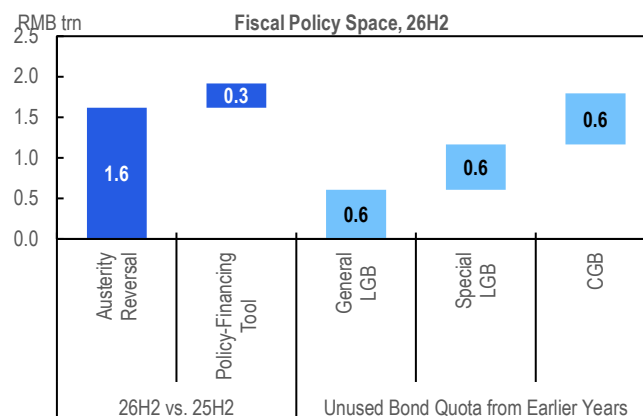
Balancing trade via services? — The policymakers mentioned to expand international economic cooperation, developing services trade, and “fostering balanced trade development” (促进贸易平衡发展). The explicit mention of trade balance is rare at both the Politburo and CEWC levels in recent years. We read this as a likely response to rising trade tensions with Europe, set against the backdrop of ongoing tariff disputes with the US. Concrete policy measures remain undefined at this stage.

Figure 1. The reversal of fiscal austerity from 26H1 could release an additional ~RMB1.6trn in 26H2E vs.25H2



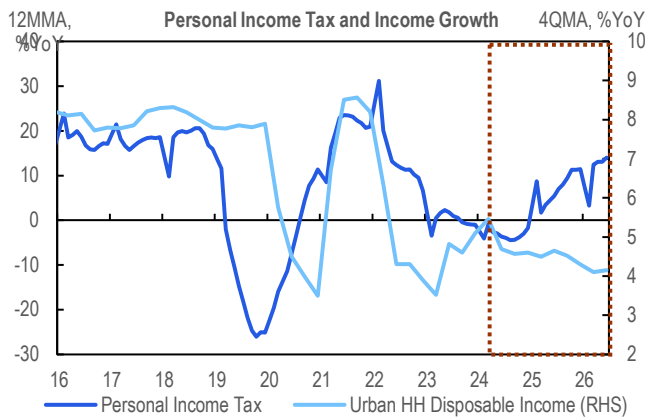
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Figure 2. We rule out a formal budget revision or an increase in the government bond issuance quota this year



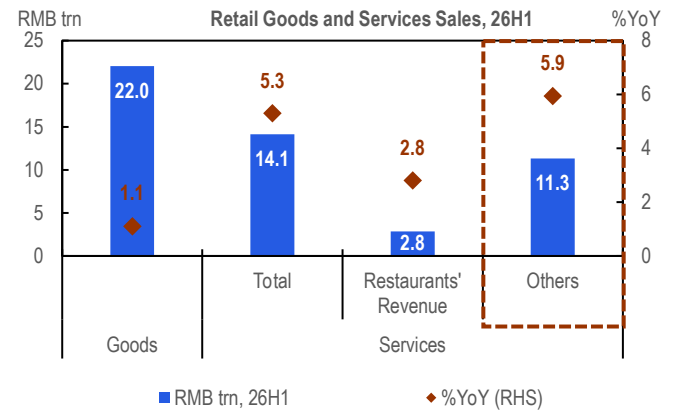
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Figure 3. The policymakers stepped up revenue collection this year



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Figure 4. The consumption discussion centered on supply-side improvements and services sector development



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